The ordinance would, of course, need to be ratified by Parliament at its next session.

At face value, the government's legislative initiative was unexceptionable, in some sense even wise. Instead of addressing just the immediate issue, the government was establishing a generalized mechanism for resolving all regulatory disputes in the future. Ironically, it was this very broad-based action—the statutory sanction to readily convene a committee whenever there was a dispute between regulators—that triggered disquiet among all regulators, including the Reserve Bank, about how it could potentially be abused to compromise the autonomy of regulators.

There were several concerns. First, the bar for invoking the statutory intervention was set very low. All that was required was a complaint by any of the regulators or either of the secretaries, of economic affairs or financial services, in the finance ministry. For a future finance minister intent on misusing the authority of the committee to settle scores with regulators or to trim their wings, this would be an easy enough prerequisite to meet. Second, it would also make it possible for interested parties to pay regulatory arbitrage by deliberately engineering a dispute to invoke the committee's jurisdiction. Finally, whether or not the mechanism was misused, the very possibility of misuse was a concern. The mere existence of an enabling provision of a statutory committee would keep regulators anxious, besides strengthening the perception of potential investors about the fragility of regulatory autonomy in the economy.

I consulted my colleagues and all of us agreed that I should formally take up this issue with the government. The result was a letter that I wrote to the finance minister listing the Reserve Bank's concerns and requesting the government to let the ordinance lapse by not seeking parliamentary approval for it.

The letter received extensive media coverage, with the Reserve Bank getting both approval and reproval. On the positive side, the Reserve Bank was complimented for upholding an issue of larger public interest by trying to prevent politicization of regulatory oversight. As governor, I was praised for the courage I showed in taking a firm and principled position on